

Monkey portfolios

Can a blindfolded monkey beat the index?



Monkeys win where small beats big. That's all they know.

Henrik Gjernerig · Project 10 · point-in-time universes, local currency (World in USD)

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Burton Malkiel (1973): a blindfolded monkey throwing darts at the stock pages could do as well as the experts.

I let 10,000 monkeys pick 10–30 stocks every January in six markets, 2013–2026, point-in-time index members, after costs.

Share of monkeys that beat the index: US 3%, EU 57%, UK 76%, Denmark 83%, Scandinavia 77%, World 48%.

The monkeys are not lucky or clever. A random portfolio is an equal-weight portfolio, and equal weight is a bet on small companies. They win in the years small beats big and lose when the mega-caps lead, as they did in the US.

The lesson for any stock picker: compare yourself with the equal-weight universe as well as the index, or a size tilt will look like skill.

Full factsheet: <https://hgjerning.github.io/now-showing/factsheets/fs05-monkey-portfolios>

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